UNIT I – Ethics

23AS2701a · Business Ethics & Corporate Governance (JNTUA R23)

I. Introduction & Meaning of Ethics

- Word **Ethics** ← Greek **"ethos"** = character, custom, habit
- Branch of philosophy → studies **right vs wrong, good vs bad** conduct
- Gives **standards / principles** that guide human behaviour

> **Definition:** Ethics = set of moral principles & values that govern the conduct of an individual or group → "what ought to be done".

- Business context → ethics = applying moral standards to **business decisions**
- Core question: "Is it **legal**? Is it **fair**? Can I defend it publicly?"

Ethics vs Morals vs Values vs Law

Basis	Ethics	Morals	Values	Law
Source	Society, profession, org.	Individual conscience, religion, culture	Upbringing, experience	State / legislature
Nature	Rational, external rules	Personal, internal beliefs	Deep beliefs of worth	Written, codified
Enforced by	Codes, peer pressure	Guilt, conscience	Self	Courts, police, penalty
Example	Doctor's confidentiality	Honesty is right	Integrity, respect	Companies Act 2013

> ★ **Important**
> Law = **minimum** standard (what you MUST do); Ethics = **higher** standard (what you SHOULD do). Something legal can still be unethical (e.g. misleading but legal ads).



Fig 1: Relationship between Ethics and Law (law is a subset of ethical expectations)

2. Nature of Ethics

- **Normative** science → tells how people ought to behave
- **Human-centric** → applies only to conscious, free choice
- **Universal** core (honesty, justice) but **relative** in details across cultures
- **Dynamic** → changes with time/society (e.g. child labour, environment)
- **Voluntary** → self-regulated, not forced by state
- **Relates to values** → based on social & moral values
- **Multi-disciplinary** → philosophy, law, psychology, religion
- **Practical** → guides everyday decisions; both **individual & group**
- Benefits **all stakeholders** → long-term perspective

3. Scope of Ethics

- **Personal life** → family, friends, honesty
- **Professional life** → doctors, lawyers, CAs, engineers
- **Business** → marketing, finance, HR, production, operations
- **Society** → environment, human rights, justice, poverty
- **Government / politics** → corruption, transparency
- **Science & technology** → AI, data privacy, cloning, bioethics
- **Media** → fake news, paid news, advertising

Scope in functional areas of business

Area	Ethical concerns
Marketing	False ads, unsafe products, pricing, privacy
Finance	Insider trading, window-dressing, fraud (Satyam 2009)
HR	Discrimination, harassment, fair wages, privacy
Production	Quality, safety, pollution, child labour
IT / Data	Data breach, surveillance, copyright

4. Significance (Importance) of Ethics

- Builds **reputation & brand image** → long-term goodwill
- Wins **customer trust & loyalty** → repeat sales
- **Attracts & retains talent** → morale, low attrition
- Attracts **investors** → better governance = lower risk
- **Avoids legal penalties**, scandals, litigation costs
- Better **decision-making** → clear guidelines for dilemmas
- Protects **society & environment** → sustainability
- Creates healthy **competition** & trust in markets
- **Ethics pays** → "Honesty is the best policy" in long run

Mnemonic – "TRUST": Trust · Reputation · Understanding of law · Sustainability · Talent retention

5. Loyalty and Ethical Behaviour

- **Loyalty** = faithful commitment / allegiance to a person, group, organisation or cause
- Shown by: dedication, confidentiality, putting org interest above personal gain
- Loyalty is a **virtue** only when it is **consistent with ethics**

Types / Objects of loyalty

Loyalty to	Meaning / duty
Employer	Work sincerely, protect trade secrets, avoid conflict of interest
Profession	Follow professional code (ICAI, ICSI, Bar Council)
Customers	Fair price, quality, honest information
Colleagues / team	Cooperation, no backstabbing
Society	Law, environment, public safety

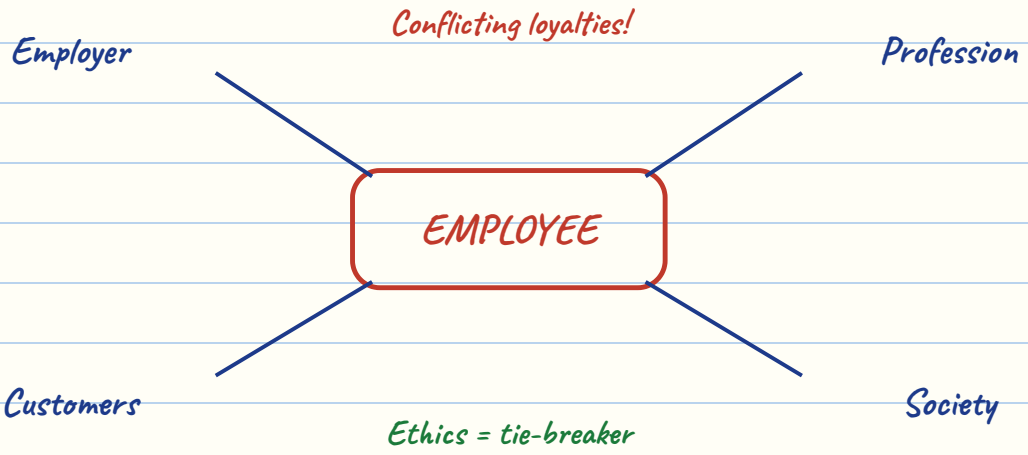


Fig 2: Multiple loyalties & the ethical conflict

Conflict between loyalty & ethics

- Employer asks to hide defects / bribe officials → **loyalty vs honesty**
- Org harms environment → **loyalty vs social duty**
- Blind loyalty ("yes-man") → groupthink, scandals (Enron, Satyam)
- Resolution → loyalty to **principles > persons**; use internal channels first

Whistle-blowing

- **Whistle-blowing** = employee discloses illegal/unethical practices of org to authorities/public
- Types: **Internal** (to management) · **External** (regulator, media)
- Indian law: **Whistle Blowers Protection Act 2014**; Sec 177 Companies Act 2013 (vigil mechanism); SEBI LODR Reg. 22
- Example: **Sanjiv Chaturvedi** (AIIMS), **Satyendra Dubey** (NHAI, killed 2003), Edward Snowden
- Guidelines → good faith, evidence, follow chain, protect identity

> ★ Important
> Whistle-blowing = ethical **duty** when harm is serious & internal route fails; protects public interest over narrow loyalty.

Ethical behaviour – traits

- **Honesty & integrity** – truthful words = deeds
- **Fairness & justice** – equal treatment, no bias
- **Accountability & responsibility** – own the outcome
- **Respect** for people, **transparency**, **confidentiality**
- **Compassion, courage, law-abiding, trustworthiness**
- Test → **Newspaper test**: would I be OK if this appeared on the front page?

6. Value Systems

- **Values** = enduring beliefs that a specific mode of conduct / end-state is preferable (Rokeach)
- **Value system** = ranking of values by importance → guides choices, attitudes, behaviour

Sources of values

- Family & parents · Religion · Culture/tradition · Education · Peers · Media · Role models · Work experience · Law

Rokeach Value Survey (1973) – 36 values

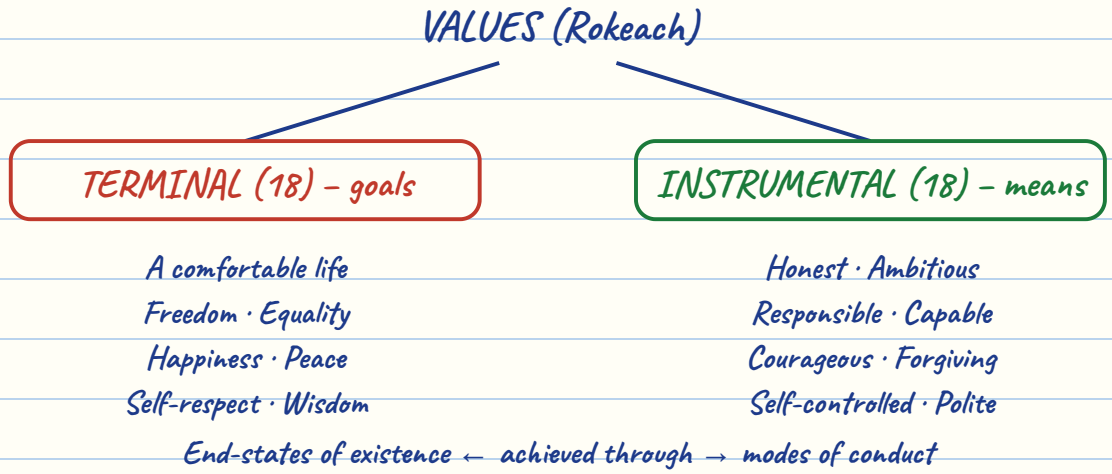


Fig 3: Terminal vs Instrumental values

Terminal values	Instrumental values
Desirable **end-states** (goals in life)	Preferable **modes of behaviour** (means)
Personal & social: peace, freedom	Moral & competence: honest, capable

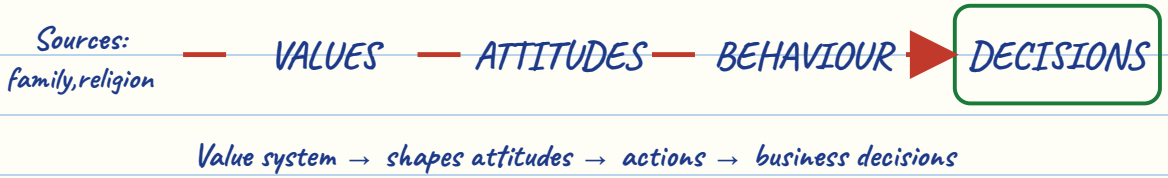


Fig 4: Value system chain

- Other classification: **Allport** – theoretical, economic, aesthetic, social, political, religious
- Indian values: **Satya, Dharma, Ahimsa, Seva, Nishkama karma** (Gita) · Gandhi's **"seven social sins"** incl. "commerce without morality"
- Organisational values: customer focus, integrity, innovation, teamwork, quality (e.g. Tata: "Leadership with Trust")

7. Business Ethics

Definition: Business ethics = application of moral principles & standards to **business behaviour, policies and decisions**, ensuring fairness to all stakeholders.
Velasquez: study of moral standards and how they apply to business institutions & people in them.

- Concerned with: honesty in dealing, fair trade, no exploitation, product safety, accountability
- Stakeholders → owners, employees, customers, suppliers, govt, society, environment

Characteristics of business ethics

- **Code of conduct** – written / unwritten standards
- **Based on moral values**, not just profit
- **Voluntary** · beyond law (self-discipline)
- **Protects stakeholders**; balances conflicting interests
- **Relative** (varies by society) & **dynamic**
- **Long-term orientation**; **applies at all levels** (top to bottom)
- Reflects **organisational culture**; needs **education & training**

8. Types of Ethics

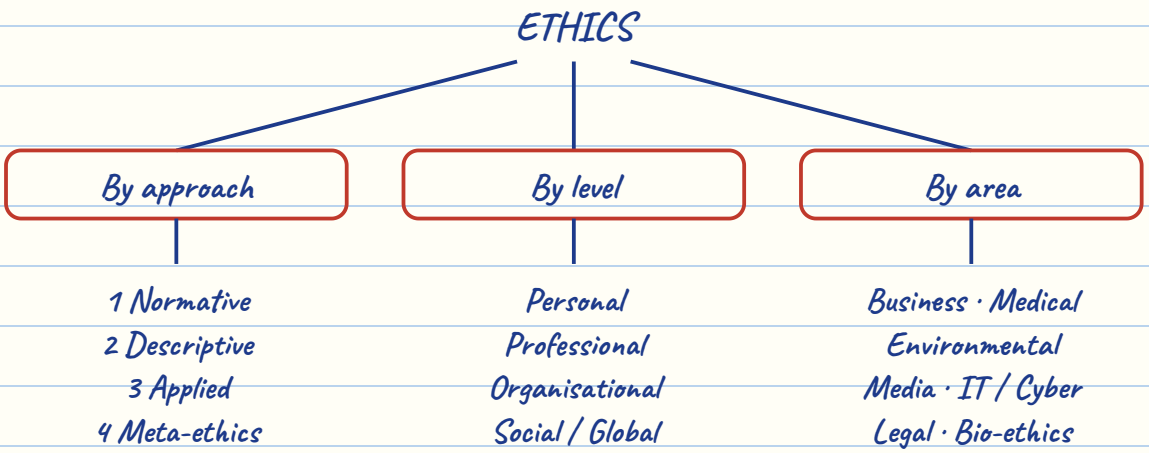


Fig 5: Types of ethics (classification)

A. By approach

Type	Meaning
Normative	Sets norms: what SHOULD be done. Theories: utilitarian, deontological (Kant), virtue, justice
Descriptive	Describes what people actually believe/do (empirical, sociology)
Applied	Applies theory to specific issues: business, medical, environment
Meta-ethics	Nature of "good", "right" – meaning of moral terms

B. By level

- **Personal ethics** → individual's own morals, conscience
- **Professional ethics** → code of a profession (doctor – Hippocratic oath; CA – ICAI code)
- **Organisational / corporate ethics** → company's values, code & policies
- **Social ethics** → community norms: justice, equality, human rights

Major ethical theories (normative)

Theory	Idea	Judges by
Utilitarianism (Bentham, Mill)	Greatest good for greatest number	Consequences
Deontology (Kant)	Duty & rules, categorical imperative	Intent / duty
Virtue ethics (Aristotle)	Character – courage, honesty	Character
Justice (Rawls)	Fairness, protect the least advantaged	Fair distribution
Rights theory (Locke)	Respect human rights	Rights

9. Factors Influencing Business Ethics

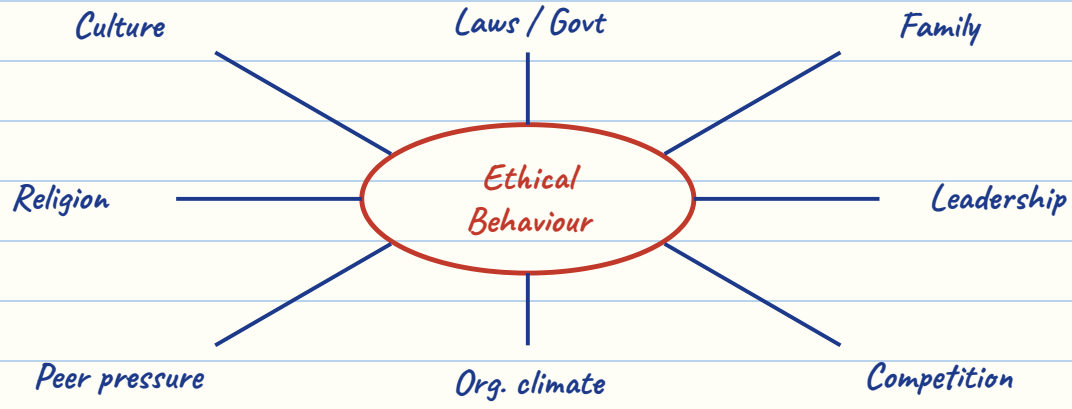


Fig 6: Factors influencing ethical behaviour

- **Culture & society** → norms, gift-giving, tolerance of corruption
- **Laws & regulation** → set minimum standards, fear of penalty
- **Family & upbringing** → early moral formation
- **Religion & education** → values, conscience
- **Leadership / top management** → "tone at the top" (most powerful)
- **Peer pressure** → colleagues' behaviour, groupthink
- **Organisational climate / culture** → reward system, code, whistle-blower support
- **Competition & profit pressure** → unrealistic targets push shortcuts
- Also: individual personality, moral development (Kohlberg), media, technology

★ *Important*

Kohlberg's 3 levels: **Pre-conventional** (reward/punishment) → **Conventional** (rules, social approval) → **Post-conventional** (universal principles).

10. Contradictions & Dilemmas in Business Ethics

- **Ethical dilemma** = situation with two/more choices, each with ethical costs
- **Profit vs ethics** → "business of business is business" (Friedman) vs stakeholder view
- **Short-term gain vs long-term goodwill**
- **Loyalty vs honesty** (employer vs public interest)
- **Ethical relativism** → "when in Rome do as Romans do" – bribe/gift norms differ by country vs **universalism** – same rules everywhere
- **Law vs ethics** → legal but harmful (tobacco, tax avoidance)
- **Competition vs fairness** → predatory pricing, copying
- **Efficiency vs employee welfare** → layoffs, automation
- **Employee privacy vs monitoring**

Arguments FOR & AGAINST business ethics

FOR (ethics pays)	AGAINST (criticisms)
Builds goodwill & loyalty	Business is for profit only (Milton Friedman)
Avoids legal trouble	Law is enough; ethics is vague / subjective
Attracts talent & investors	Costs money; competitors unethical gain edge
Social licence to operate	Managers not trained to judge morality
Prevents govt regulation	Ethics differ across cultures (relativism)

11. Ethical Practices in Management

- **Code of ethics / conduct** – written statement of values & do's/don'ts
- **Ethics committee / officer** – oversees compliance, advises
- **Ethics training** & awareness for all levels
- **Top management commitment** – lead by example
- **Whistle-blower policy / ethics hotline** – anonymous reporting (Sec 177)
- **Ethics audit** – periodic review of compliance
- **Fair HR practices** – recruitment, appraisal, grievance redressal
- **Transparent disclosures** – financial & non-financial; BRSR reporting
- **Stakeholder engagement**, supplier code, anti-bribery policy
- **Reward ethical conduct; punish violations** consistently

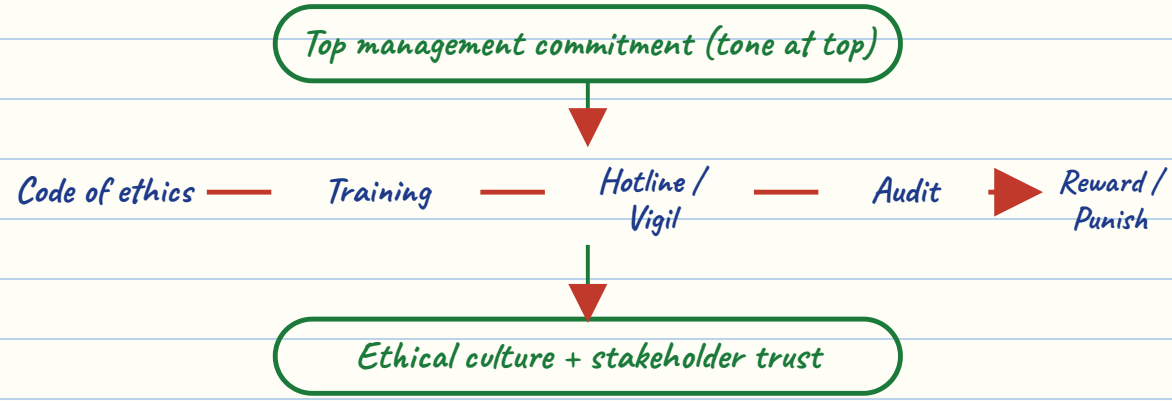


Fig 7: Institutionalising ethics in an organisation

12. Corporate Social Responsibility (CSR)

CSR = continuing commitment by business to behave ethically & contribute to economic development while improving quality of life of workforce, community & society (WBCSD).

- Concept: **Howard Bowen** (1953) "Social Responsibilities of the Businessman"; **Carnegie** – stewardship
- Views: **Classical** (Friedman – profit only) vs **Socio-economic** (Keith Davis – "iron law of responsibility")
- Principles → accountability, transparency, ethical behaviour, respect for stakeholders & law

Carroll's CSR Pyramid (1991)

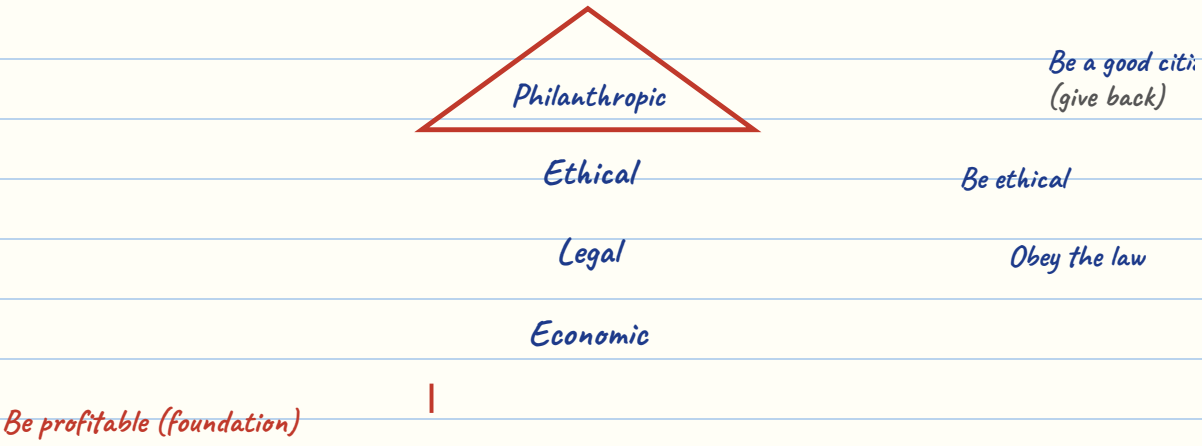


Fig 8: Carroll's pyramid – Economic (base) → Legal → Ethical → Philanthropic (top)

- Economic = required · Legal = required · Ethical = expected · Philanthropic = desired

Triple Bottom Line (Elkington, 1994) – 3 P's

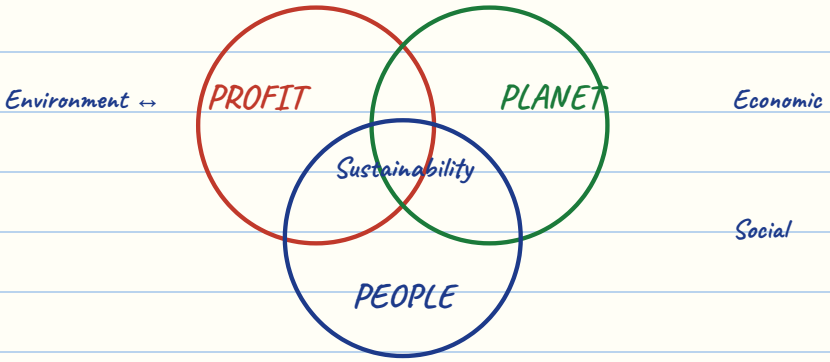


Fig 9: Triple Bottom Line

CSR under Companies Act 2013 – Section 135

★ Important

- Applies to company having (in **immediately preceding FY**) ANY ONE of:
  - **Net worth ≥ Rs 500 crore**
  - OR **Turnover ≥ Rs 1000 crore**
  - OR **Net profit ≥ Rs 5 crore**
- Spend **at least 2%** of **average net profit of preceding 3 financial years**
- Constitute **CSR Committee** of Board (≥3 directors, incl. ≥1 independent; unlisted/ private co. with 2 directors permitted)
- Board approves **CSR policy**, annual action plan; discloses in Board's report
- Unspent amount → transfer to **Unspent CSR Account** (ongoing projects, within 30 days / spend in 3 yrs) or **Fund in Schedule VII** (e.g. PM CARES) – 2021 amendment
- Effective **1 April 2014**; India = first country to mandate CSR by law

Schedule VII – activities (key areas)

- Eradicating **hunger, poverty, malnutrition**; health care, sanitation, safe drinking water
- **Education**, skill development, vocational training
- **Gender equality**, women empowerment, old-age homes
- **Environmental sustainability**, animal welfare, conservation
- Protection of **heritage, art & culture**; armed forces veterans; sports training
- Contribution to **PM National Relief Fund / PM CARES**; technology incubators; rural development; slum area development; disaster management

Examples of CSR

Company	CSR initiative
Tata Group	Tata Trusts (~66% of Tata Sons owned by trusts); education, health, Jamshedpur; Tata Relief during 26/11, COVID
Infosys Foundation	Sudha Murty – libraries, healthcare, orphanages, flood relief
ITC	e-Choupal, watershed, "carbon positive"
Wipro / Azim Premji	Education (Azim Premji Foundation)
Reliance Foundation	Health, rural transformation, disaster response

Benefits & criticism of CSR

Advantages	Limitations
Brand image, goodwill	Seen as "tax" / compliance box-ticking
Employee pride, retention	Greenwashing, tokenism
Community development	Cost burden on small firms; shareholders' money
Risk reduction, investor appeal	Impact hard to measure; clustering in few states

13. Issues of Management (Ethical Issues)

Issue	Meaning / example
Bribery & corruption	Offering/taking gifts to influence decision; Prevention of Corruption Act 1988; US FCPA 1977; UK Bribery Act 2010
Insider trading	Trading on unpublished price-sensitive info (UPSI); SEBI PIT Regulations 2015
Discrimination & harassment	Gender, caste, religion; POSH Act 2013 (sexual harassment at workplace)
Environmental damage	Pollution, waste dumping; Environment Protection Act 1986
Consumer exploitation	Misleading ads, adulteration, unsafe goods; Consumer Protection Act 2019
Conflict of interest	Personal gain vs duty (related-party deals)
Accounting fraud	Window dressing – Satyam 2009 (Rs 7,000 cr), Enron 2001
Whistle-blower retaliation	Victimising employees who report
Child labour / unfair wages	Sweatshops; Child Labour Act
Data privacy	Misuse of customer data; DPDP Act 2023

- Also: unfair trade practices, tax evasion, plagiarism / IPR theft, product dumping, ghost employees
- Managers' dilemma → targets vs ethics; **solution** = code, culture, controls, consequences

Ethical decision-making model

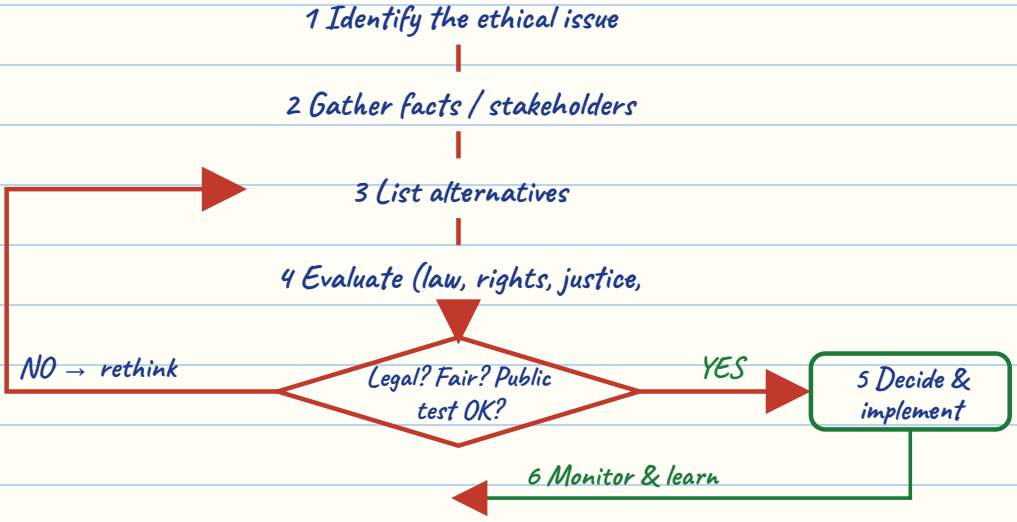


Fig 10: Ethical decision-making flowchart (step 4 – evaluate by utilitarian, rights, justice tests)

- Quick tests: **Legal test · Utility test · Publicity test · Golden-rule test** · "Would I be comfortable if my mother read it?"

14. Crisis Management

Crisis = sudden, unexpected event that threatens the organisation's survival, reputation, stakeholders. **Crisis management** = process of identifying, preventing, responding to & recovering from a crisis to minimise damage.

- Features: surprise · threat to goals · short response time · high stress · media glare

Types of crises

Type	Examples
Natural	Earthquake, flood, cyclone, pandemic
Technological / Industrial	Gas leak, fire, cyber attack, system failure
Product / Quality	Contamination, recall
Financial	Fraud, bankruptcy, stock crash
Human / Organisational	Strike, lockout, CEO misconduct, harassment
Reputational / Social media	Viral boycott, rumours
Confrontation / Malevolence	Terror, tampering, sabotage

Phases of crisis management

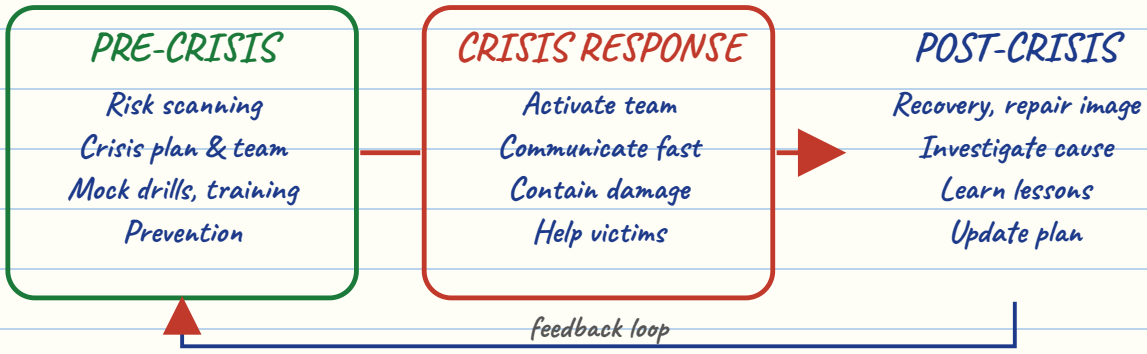


Fig 11: Three phases (cycle) of crisis management

Crisis Management Team (CMT) & steps

- CMT = CEO/leader, PR/spokesperson, legal, HR, operations, finance, security, IT
- **Steps:** 1 Detect early warning signals → 2 Form CMT → 3 Assess situation → 4 Contain/control → 5 Communicate (internal + media, one voice, honest) → 6 Resolve → 7 Recover → 8 Review & learn
- Principles: **speed, honesty, empathy, responsibility, single spokesperson**

Case examples

Case	What happened	Lesson
Tylenol (J&J), 1982	Cyanide-laced capsules killed 7 in Chicago; J&J recalled ~31 million bottles at once, tamper-proof packaging introduced	Gold standard: put public safety first, transparent
Union Carbide, Bhopal 1984	MIC gas leak (2-3 Dec) → thousands died; poor safety, delay, blame game; settlement US$470 mn (1989)	Safety neglect, poor crisis plan = disaster
Nestlé Maggi, 2015	FSSAI banned Maggi (lead, MSG claims); Nestlé recalled ~38,000 tonnes, relaunched Nov 2015	Quick recall & relaunch regained share; slow initial response hurt
Volkswagen, 2015	"Dieselgate" – software cheat device in ~11 mn diesel cars to fake emission tests; huge fines (>US$30 bn), CEO Winterkorn resigned	Deliberate unethical act = reputational & financial crash

★ *Important*

Examiners love comparing: **Tylenol (well handled)** vs **Bhopal (poorly handled)**. Always give 2-3 lines of cause, response, outcome, lesson.

15. Quick Revision & Likely Exam Questions

Key points to remember

- Ethics ← Greek **ethos**; Law = minimum, Ethics = higher
- Rokeach: **18 terminal + 18 instrumental** = 36 values
- Carroll's pyramid (1991): **Economic → Legal → Ethical → Philanthropic**
- Sec 135: **500 cr NW / 1000 cr TO / 5 cr NP**; **2% of 3-yr avg net profit**; CSR Committee
- Triple bottom line = **People-Planet-Profit** (Elkington 1994)
- Crisis phases: **Pre-crisis → Response → Post-crisis**
- Cases: Tylenol 1982 · Bhopal 1984 · Maggi 2015 · VW 2015

2-mark questions

1. Define ethics. 2. Distinguish ethics and morals. 3. What is whistle-blowing?
2. Terminal vs instrumental values. 5. Define business ethics. 6. What is an ethical dilemma?
3. State CSR threshold under Sec 135. 8. What is triple bottom line? 9. Define crisis.

5-mark questions

1. Explain the nature and scope of ethics.
2. Significance of business ethics.
3. Loyalty vs ethical behaviour – conflicts.
4. Factors influencing business ethics.
5. Arguments for and against business ethics.
6. Carroll's CSR pyramid. 7. Phases of crisis management.

10-mark questions

1. Define business ethics; explain types, characteristics and factors influencing it.
2. Explain value systems; discuss Rokeach classification and sources of values.
3. Discuss ethical practices in management and issues faced by managers; give examples.
4. Explain CSR with Sec 135 provisions, Schedule VII and examples.
5. What is crisis management? Explain types, phases & discuss Tylenol and Bhopal cases.

Last-minute tip: Start every answer with a definition → give classification/diagram → add Indian example → close with a one-line conclusion. Draw at least one diagram in 10-markers!